



KEY STATISTICS & TRADING CHART			
Current Price (USD)	\$231.74	Average Vol. (65-day avg.)	3.11M
52 Week Range (USD)	\$183.83 - \$310.00	EV/ Adjusted EBITDA (Basic / Diluted)	31.33x / 31.63x
Shares Outstanding (Basic / Diluted, \$M)	398.80 / 402.80	Net Debt/EBITDA	1.33x
Market Cap (Basic / Diluted, \$M)	\$92,417.91 / \$93,344.87	Float %	99.10%
Net Debt (USD, \$M)	\$4,101.00	YTD Price Change	20.80%
Enterprise Value (Basic / Diluted, \$M)	\$96,518.91 / \$97,445.87	12-mo Dividend Yield	0.22%

Situation:

Howmet Aerospace (HWM), established in 2020 following its separation from Arconic, is a global leader in lightweight metals engineering for the commercial and defense aerospace market. The company operates a near-monopoly in the production of structural and rotating engine components. This dominance is protected by high barriers to entry, including high upfront R&D capital requirements and stringent multi-year FAA regulation cycles. As of 1H 2026, revenue is broadly diversified across Commercial Aerospace (53.0%), Defense (15.5%), Commercial Transportation (14.8%), and Gas Turbines (12.4%). GE Aerospace and RTX Corporation are the largest individual customers that are locked into multi-year contracts and represent 14.0% and 10.0% of sales respectively. By revenue category:

- **Engine Products (54.0% of 1H 2026 Sales):** Driven by inelastic demand for commercial aerospace engines and gas turbines and bolstered by aftermarket replacement spares (21.5% of engine revenue); expanded to 37.7% EBITDA margin in Q2 2026.
- **Fastening Systems (21.8%):** Generates a 30.1% EBITDA margin; accelerating free cash flow generation through the integration of the recent \$1.81 billion acquisition of Consolidated Aerospace Manufacturing (CAM)
- **Engineered Structures (11%) and Forged Wheels (12%):** Provides durable free cash flow diversification, generating steady EBITDA margins of 27.8% and 23.8%, respectively.

In addition, Executive Chairman and CEO John Plant has a personal equity stake of nearly 3 million shares, maintaining massive shareholder alignment. Supported by the newly appointed CFO Partrick Winterlich, who brings decades of aerospace experience from Hexel, the overall leadership effectively executes a highly aggressive, shareholder-friendly capital return program. Backdropped by a pristine balance sheet and recurring revenue, management repurchased \$600 million in stock during the first half of 2026.

Investment Thesis:

Howmet Aerospace presents a rare, dual-sided market mispricing: it is currently undervalued by the broader market due to overreaction of perceived new competitive threats yet also overvalued by consensus models that assume perfect commercial aerospace deliveries. However, large switching costs and a highly lucrative aftermarket spares cycle establishes an effective valuation floor. Therefore, **I recommend a long position in Howmet Aerospace with a 12 month price target of \$280.00, representing a 20.83% upside.**

1. Retail Investor Panic Overstates Competitive Threats

The recent ~22% drawdown is a retail-driven overreaction to two headlines that validate Howmet's competitive advantage. In August 2026, SpaceX committed \$2.8 billion to build a Texas foundry to cast gas turbine blades for AI data centers. Because Howmet and peers are completely sold out through 2030, SpaceX was forced to vertically integrate to bypass the 4-to-5-year waitlist. Bernstein analysts state initiative is designed purely to serve power needs, rather than to turn the company into a merchant seller. Jefferies also indicates a minimum 4-year ramp before SpaceX begins production. Moreover, even if SpaceX wanted to enter commercial aerospace, becoming an FAA-certified merchant requires 5-7 years of testing, a massive liability and a distraction that SpaceX is disincentivized to pursue.

In September 2026, GE Aerospace acquired Consolidated Precision Products (CPP) for \$11.75 billion, paying a massive 26x forward EBITDA premium to secure manufacturing capacity. Retail investors fear GE will now insource Howmet's 14% revenue exposure, which ignores the current state of the aerospace market. Howmet retains the proprietary intellectual property, core patents, and specific FAA part certification for its single-crystal components. GE cannot legally or practically transfer these certified parts to CPP without a multi-year FAA recertification process. Moreover, with global airfoil demand projected to rise >30% through 2030 and with an industry backlog of 17,000 aircraft, it is clear that GE acquired CPP to secure scarce casting capacity, not to cannibalize Howmet's revenue.

2. OEM Delivery Bottlenecks Break Consensus Top-Line Projections

Consensus prices Howmet at a 34x EV/EBITDA multiple to justify an average \$340 price target. This valuation is underwritten by a flawless ramp in commercial aerospace deliveries to reach \$12.8B in revenue and \$4.39B in EBITDA by 2028. However, this view is flawed. The aerospace supply chain is not experiencing isolated temporary delays but instead suffering from chronic capacity imbalances that industry analysts project will persist through 2027, with full normalization unlikely before 2031-2034. Indeed, while the FAA recently permitted Boeing to raise its 737 MAX production ceiling to 47 per month, Boeing has been struggling to maintain a production of 35 planes for month, based on poor supplier performance and supply chain resilience. Furthermore, a new software glitch on the 737 MAX recently triggered an FAA review, which could further delay certification and delivery of the MAX 7 and MAX 10. Concurrently, Airbus has deferred its 75/month A320neo target to the end of 2027 as engine manufacturers struggle with delivery delays, most notably the Pratt & Whitney GTF metal powder defect and CFM Leap bottlenecks.

However, Wall Street models misprice Howmet since they mistakenly treat aerospace Long-Term Agreements (LTAs) as guaranteed, straight-line revenue. In reality, LTAs are requirements contracts executed via rolling Master Production Schedules. When Boeing and Airbus assembly lines slow down, OEMs immediately preserve working capital by slashing monthly purchase orders and actively destocking inventory. Howmet is legally obligated to absorb this volume shock. While high-margin aftermarket spares cushion bottom-line profits, they cannot offset the sheer volume deficit of lost OEM baseline deliveries. As top-line misses materialize, the market will de-rate Howmet from its unsustainable 34x multiple down to a more conservative 30x baseline.

3. Monopoly Pricing Power Creates a Technical Valuation Floor

While sell-side consensus aggressively priced Howmet at a 34x forward EV/EBITDA multiple, the recent ~22% drawdown proved the multiple is vulnerable to top-line aerospace cyclicality. However, Howmet's valuation will not collapse to the broader Industrials average (11x) or traditional defense (15x to 16x) because it is priced as a proprietary IP monopoly. On the engine products they sell, Howmet holds a 90% market share, serving as the sole-source provider across core narrowbody and widebody platforms. Because requalifying flight-critical hot-section components costs tens of millions and takes years of FAA testing, OEM switching costs are insurmountable. This grants Howmet unyielding pricing power and contractual raw-material pass-through clauses in at least the next 5-7 years. As proof of this leverage, Howmet did not suffer margin dilution during recent inflationary spikes and instead had its engine product segment expanded to a record 37.7% Adjusted EBITDA margin in Q2 2026.

This monopoly power is backstopped by a highly lucrative aftermarket cycle. As OEM delivery delays force commercial airlines to extend the operating lifespans of older aircraft (with the global passenger fleet average age now 12.8 years), aircraft require more shop visits and replacement hardware. Because aftermarket spares carry substantially higher gross margins than first components, this shift increases profitability even when top-line revenue decreases. This gross margin insulation, paired with management's aggressive capital return program, repurchasing \$600 million in stock in the first half of 2026 alone, artificially accelerates EPS. This dynamic protects downside by creating a valuation floor at 28x EV/EBITDA, which allows the Base Case to be comfortable at 30x EV/EBITDA.

Valuation Analysis

Sell-side consensus assumes flawless OEM deliveries, projecting revenue growth of 22.5%, 13.7%, and 11.6% (FY26–FY28), with EBITDA margins expanding to 32.2%, 33.2%, and 34.1%, respectively. Conversely, my model prices in persistent OEM delays that compress revenue growth to 21.2%, 13.0%, and 11.0% over the same period. However, the resulting after-market mix-shift structurally bolsters my EBITDA margins to 32.5%, 34.5%, and 35.5%. Applying a conservative 30x EV/EBITDA exit multiple, discounted from the consensus 34.0x, yields a **Base Case (\$274.91 | 18.6%)**. This premium is justified by Howmet's monopoly pricing power and 12 consecutive quarters of earnings beats, ensuring the valuation resists commoditization even as OEM volumes miss expectations.

This framework exposes a highly asymmetric risk-reward profile. In the **Bull Case (\$323.26 | +39.5%)**, supply chain bottlenecks clear, driving revenue to consensus levels. Margins expand, and the market sustains a higher 33.0x multiple. In the **Bear Case (\$221.64 | -4.6%)**, severe OEM production halts stall revenue growth. Margins contract, compressing the valuation to the 28.0x floor. Because downside risk is insulated by proprietary IP and inelastic aftermarket pricing power, the ~40% upside heavily outweighs the isolated ~5% downside. Therefore, the recommended **12-month price target of \$280.00 accurately reflects this asymmetric risk profile**.

DCF Valuation Model	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
BASE CASE: Terminal Value 30x EBITDA						
Revenue	\$ 8,252.00	\$ 10,000.00	\$ 11,300.00	\$ 12,543.00	\$ 13,671.87	\$ 14,765.62
Total Adjusted EBITDA	\$ 2,416.00	\$ 3,250.00	\$ 3,898.50	\$ 4,452.77	\$ 4,853.51	\$ 5,241.79
Free Cash Flow	\$ 1,431.00	\$ 2,007.44	\$ 2,534.76	\$ 2,940.43	\$ 3,232.19	\$ 3,505.82
Implied Share Price						\$ 274.91
BULL CASE: Terminal Value 33x EBITDA						
Revenue	\$ 8,252.00	\$ 10,000.00	\$ 11,500.00	\$ 13,000.00	\$ 14,560.00	\$ 16,161.00
Total Adjusted EBITDA	\$ 2,416.00	\$ 3,250.00	\$ 3,967.50	\$ 4,615.00	\$ 5,314.40	\$ 5,898.77
Free Cash Flow	\$ 1,431.00	\$ 2,007.44	\$ 2,558.38	\$ 3,022.16	\$ 3,518.61	\$ 3,921.18
Implied Share Price						\$ 323.26
BEAR CASE: Terminal Value 28x EBITDA						
Revenue	\$ 8,252.00	\$ 10,000.00	\$ 11,000.00	\$ 11,990.00	\$ 12,949.00	\$ 13,855.00
Total Adjusted EBITDA	\$ 2,416.00	\$ 3,250.00	\$ 3,685.00	\$ 4,016.65	\$ 4,402.66	\$ 4,710.70
Free Cash Flow	\$ 1,431.00	\$ 2,007.44	\$ 2,409.12	\$ 2,637.94	\$ 2,915.24	\$ 3,133.63
Implied Share Price						\$ 221.64

Risks

- **OEM Build Rate Volatility:** Severe production halts would cause an immediate volume shock, reducing top-line revenue, while a rapid OEM recovery would invalidate my variant perception. However, the accumulated deficit of ~3,500 aircrafts force airlines to fly legacy fleets with new deliveries, sustaining aftermarket demand regardless of production pitfalls.
- **Macroeconomic Downturn:** A global recession or drop in passenger traffic would prompt airlines to park older aircraft rather than fund maintenance, impairing the high-margin spares cycle underpinning the 28.0x floor. However, the global passenger fleet averages 12.8 years and component overhauls are legally mandated by the FAA, locking in solid high-margin revenue.
- **Regulatory Bypass & In-Sourcing:** GE Aerospace could integrate CPP ahead of expectations, eroding market share. However, Howmet is protected by 1,170 patents and stringent FAA testing, making bypassing the 5-to-7-year certification cycle difficult.

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Appendix:

CONSENSUS EST.	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Revenue	7,430	8,252	10,106	11,488	12,821
Revenue Growth	—	11.10%	22.50%	13.70%	11.60%
EBITDA	1,914	2,416	3,258	3,809	4,378
EBITDA Growth	—	26.20%	34.90%	16.90%	14.90%
EBITDA Margin	25.80%	29.30%	32.20%	33.20%	34.10%
EBIT	1,633	2,133	2,964	3,474	4,033
EBIT Growth	—	30.60%	39.00%	17.20%	16.10%
Interest	-182	-151	-187.8	-184.8	-175.2
EBT	1,383	1,840	2,763	3,248	3,837
Net Income	1,155	1,508	2,218	2,572	3,033
Net Debt	2,751	2,308	3,430	2,800	2,111
Capex	321	453	517.6	578.6	588.6
Free Cash Flow	977	1,431	1,930	2,305	2,750

WACC Calculations	
Cost of Equity	10.36%
Risk Free Rate	0.05
Beta (5 Yr. historical)	1.19
ERP	0.045
Cost of Debt	3.53%
Market Value of Equity	93.3
Market Value of Debt	4.1
Percentage of Equity	0.957905544
Percentage of Debt	0.042094456
WACC	10.07%

Base Case DCF Valuation Model	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
REVENUE						
Engine Products	\$ 4,242.00	\$ 5,645.90	\$ 6,097.57	\$ 6,707.33	\$ 7,378.06	\$ 8,115.87
Aftermarket Replacement % of Engine Revenue	—	21.50%	23.50%	25.50%	25.50%	25.50%
Total Revenue	\$ 8,252.00	\$ 10,000.00	\$ 11,300.00	\$ 12,543.00	\$ 13,671.87	\$ 14,765.62
% Growth	11.06%	21.18%	13.00%	11.00%	9.00%	8.00%
Total Adjusted EBITDA	\$ 2,416.00	\$ 3,250.00	\$ 3,898.50	\$ 4,452.77	\$ 4,853.51	\$ 5,241.79
% Growth	26.23%	34.52%	19.95%	14.22%	9.00%	8.00%
% Margin	29.30%	32.50%	34.50%	35.50%	35.50%	35.50%
Net Working Capital (% of Revenue Growth)	—	\$ 209.76	\$ 156.00	\$ 149.16	\$ 135.46	\$ 131.25
CapEx	—	\$ 500.00	\$ 565.00	\$ 627.15	\$ 683.59	\$ 738.28
Interest Expense	—	\$ (187.80)	\$ (184.80)	\$ (175.20)	\$ (175.20)	\$ (175.20)
D&A	—	\$ 290.00	\$ 327.70	\$ 363.75	\$ 396.48	\$ 428.20

EBIT	\$ 2,133.00	\$ 2,960.00	\$ 3,570.80	\$ 4,089.02	\$ 4,457.03	\$ 4,813.59
NOPAT	—	\$ 2,427.20	\$ 2,928.06	\$ 3,352.99	\$ 3,654.76	\$ 3,947.15
Net Income	\$ 1,508.00	\$ 2,273.20	\$ 2,776.52	\$ 3,209.33	\$ 3,511.10	\$ 3,803.48
EPS	\$ 3.71	\$ 2.77	\$ 6.96	\$ 8.05	\$ 8.80	\$ 9.54
EPS (Adjusted)	\$ 3.77	\$ 2.56	\$ 6.89	\$ 7.97	\$ 8.72	\$ 9.44
FCF	\$ 1,431.00	\$ 2,007.44	\$ 2,534.76	\$ 2,940.43	\$ 3,232.19	\$ 3,505.82
Discount Factor	—	0.95	0.87	0.79	0.71	0.65
PV of FCF	—	\$ 1,911.23	\$ 2,195.06	\$ 2,313.47	\$ 2,310.41	\$ 2,276.79
PV Terminal Value						\$ 103,827.70
PV Enterprise						\$ 114,834.67
PV Equity						\$ 110,733.67
Implied Share Price						\$ 274.91